NFLX

$$65.64

Netflix, Inc. (NASDAQ)

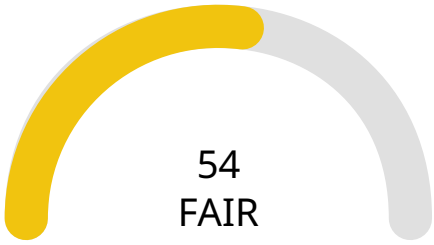
[Mkt 21-Oct-26]

As-of: 21-Oct-2026 | Latest Filing: Q2 2026 10-Q and Q3 2026 shareholder letter (Oct 2026) | Currency: USD

Market Cap: $273.3B

[Mkt 21-Oct-26]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 82

A 34.6% operating margin in Q3 2026, a 29.5% margin and 20.9% free cash flow margin in FY2025, double digit growth in every region, and net debt of only $5,181M against the scale of the business, held back only by the heavy content spend the model requires.

2. Recent Trend — 62

Margin, profit, and cash flow all beat plan in Q3 2026, with operating income up 37% and EPS above consensus, but revenue growth decelerated for a third straight quarter and the Q4 guide, the free cash flow guide, and the ad revenue guide were all trimmed.

3. Forward Growth — 58

FY2026 revenue is guided to about $51.1B with the 31.5% margin target held, paid memberships crossed 325M at the end of 2025, and advertising is guided to about $2.7B, against a modeled five year base case CAGR of 6% as the base scales and price led growth annualizes.

4. Valuation — 24

The computed base target of [[BASE]] offers [[BASE_UP_ABS]] downside from [[SPOT]] and the blended target of [[BLENDED]] offers [[BLENDED_UP_ABS]] downside, while the reverse DCF shows the price embedding growth above the bull case.

5. Catalysts & Risk — 48

The Q4 print, the pace of the ad rollout, and a record buyback are live catalysts in both directions, balanced against decelerating growth, a below consensus guide, and an expectations bar set above the bull case.

Investment Thesis

- **The operating business keeps compounding:** Netflix grew Q3 2026 revenue 11.8% to $12,874M while operating income rose 37% to $4,459M and operating margin expanded to 34.6% from 28.2% a year ago, ahead of the 33.2% guide. Net income rose 44% to $3,664M, diluted EPS of $0.87 beat the $0.82 consensus, and free cash flow was $2,884M [Q3 Letter]. The full year base is equally solid, with FY2025 revenue of $45,183M, a 29.5% operating margin, and free cash flow of $9,461M for a 20.9% free cash flow margin [10-K].
- **Growth is stepping down and the newest lever was trimmed:** Revenue growth has decelerated through 2026, from 16% in Q1 to 13.4% in Q2 and 11.8% in Q3, and the Q4 2026 guide of $13,442M in revenue, a 26.0% operating margin, and $0.67 of EPS sat below consensus on each line. We note the FY2026 revenue guide held at about $51.1B with the 31.5% margin target maintained, but free cash flow guidance was cut to about $12.0B and ad revenue guidance was cut to about $2.7B from about $3.0B on a slower ad product rollout. Advertising remains a growth driver but a minority of revenue, at about $2.7B guided on about $51.1B [Q3 Letter].
- **The business is healthy and the price already assumes more than our bull case:** At [[SPOT]] the reverse DCF shows the price embedding a five year revenue CAGR of about 12.0% at the base case average free cash flow margin of 22.79% held flat, above even our bull case CAGR of 9%. Our computed base target of [[BASE]] sits [[BASE_UP_ABS]] below the price, so we rate the shares Hold with Valuation Concerns, the house treatment for a healthy business at an overvalued price.

Key Operating Metrics

METRIC	LATEST	YOY CHANGE	3Y TREND
Revenue (Q3 2026)	$12,874M [Q3 Letter]	+11.8% [Q3 Letter]	Up
Revenue (FY2025)	$45,183M [10-K]	+16% [10-K]	Up
Operating Margin (Q3 2026)	34.6% [Q3 Letter]	28.2% in Q3 2025 [Q3 Letter]	Up

Operating Income (Q3 2026)	$4,459M [Q3 Letter]	+37% [Q3 Letter]	Up
Diluted EPS (Q3 2026)	$0.87 [Q3 Letter]	Consensus $0.82 [Q3 Letter]	Up
Net Debt	$5,181M [10-Q]	Debt $14,309M vs cash and short-term investments $9,128M [10-Q]	Flat
FY2026 Revenue Guide	About $51.1B [Q3 Letter]	Margin guide held at 31.5% [Q3 Letter]	Up

Historical Financial Trend

METRIC	FY2025	Q4 2025	Q1 2026	Q2 2026	Q3 2026
Revenue	$45,183M [10-K]	$12,051M [Q4 Letter]	$12,250M [Q1 Letter]	$12,560M [10-Q]	$12,874M [Q3 Letter]
Operating Margin	29.5% [10-K]	24.5% [Q4 Letter]	32.3% [Q1 Letter]	33.4% [10-Q]	34.6% [Q3 Letter]
Operating Income	$13,327M [10-K]	$2,957M [Q4 Letter]	$3,957M [Q1 Letter]	$4,193M [10-Q]	$4,459M [Q3 Letter]
Free Cash Flow	$9,461M [10-K]	About $1,900M [Q4 Letter]	$5,094M [Q1 Letter]	$1,525M [10-Q]	$2,884M [Q3 Letter]

Valuation

Absolute (18/10)

Price [[SPOT]] [Mkt 21-Oct-26] DCF Bear [[BEAR]], Base [[BASE]], Bull [[BULL]], Blended [[BLENDED]] [DCF model]
Market cap about $273.3B on 4,164M shares outstanding [10-Q/Mkt]

The reverse DCF prices in a five year revenue CAGR of about 12.0% at the base case average free cash flow margin of 22.79% held flat. The scenario set carries five year revenue CAGRs of 4% in the bear case, 6% in the base case, and 9% in the bull case, with terminal free cash flow margins of 20.0%, 24.0%, and 28.0% and terminal growth of 2.0%, 2.5%, and 3.0%. The discount rate is a single live CAPM path, with WACC at 10.51% in FY2026 gliding to 8.81% in FY2031 as beta

Versus Peers (50/8)

Netflix reports a single segment, so we do not present a segment peer split that the filings do not support. The useful benchmark is the company against its own cash economics. FY2025 free cash flow margin was 20.9% and the FY2026 guide of about $12.0B on about $51.1B of revenue implies about 23.5%, while the DCF bridge carries terminal free cash flow margins of 20.0% in the bear case, 24.0% in the base case, and 28.0% in the bull case. The base case therefore asks for only a modest step up from the guided level, and the valuation gap to the price comes from the growth the market embeds, not from an aggressive margin assumption in our model.

Versus History (40/7)

Netflix completed a 10 for 1 stock split in November 2025, so all per share figures here are post split [10-K]. The shares closed at $68.69 on 20-Oct-26 before the Q3 print and traded near the current price after it, falling 4.6% in the post earnings session. That followed falls of 7.3% after Q2 2026 and 9.7% after Q1 2026, a pattern of strong operating prints met with soft guides, which means the entry point still carries an expectations load the recent guides have not supported.

decays from 1.61 to 1.10, on an equity risk premium of 3.51% and a risk free rate of 5.11%. On that math the market price sits above the base and blended cases and near the bull case.

Catalyst Timeline

2027 [Q3 Letter]
Q4 2026 Earnings (Two-Sided): The guide calls for revenue of $13,442M, a 26.0% operating margin, and diluted EPS of $0.67. Delivery above the lowered bar would steady the growth narrative, while another soft guide would confirm the deceleration the price has not yet absorbed.

2026-2027 [Q3 Letter]
Advertising Ramp Pace (Two-Sided): Management cut FY2026 ad revenue guidance to about $2.7B from about $3.0B on a slower rollout of ad product capabilities and partner integration. Evidence that the rollout is back on pace in 2027 would restore the second growth engine, while further slippage pushes more weight back onto pricing and membership growth.

2026-2027 [Q3 Letter/10-Q]
Buyback and Share Count Path (Positive): The Q3 repurchase of 63.9M shares for $4.8B will lower the share count in the next 10-Q from the 4,261M diluted shares reported for Q2 2026. A sustained record pace of repurchases cushions per share value even if revenue growth stays in the low double digits.

What Would Change Our Score

Sustained revenue growth at or above the bull case path of 9% with the operating margin holding near the guided 31.5% level and free cash flow margin moving toward the base case terminal level of 24.0% would pull the equity toward the bull target of

Top Risk Factors (Item 1A)

1. Valuation and Embedded Expectations: The reverse DCF at [[SPOT]] implies the market expects revenue to compound at about 12.0% for five years at the base case average free cash flow margin of 22.79% held flat, a path above our bull case CAGR of 9%. Our base target of [[BASE]] and blended target of [[BLENDED]] both sit well below the price, and only the bull target of [[BULL]] sits near it, so the margin of safety is negative on the base and blended cases. [DCF model]

2. Growth Deceleration: Revenue growth has stepped down in three straight quarters, from 16% in Q1 2026 to 13.4% in Q2 and 11.8% in Q3, and the Q4 guide sits below consensus. Our scenario set carries five year revenue CAGRs of 4% in the bear case, 6% in the base case, and 9% in the bull case, so any slide toward the low end of that range leaves the current price with no support from the model. [Q3 Letter]

3. Advertising Ramp Slower Than Planned: FY2026 ad revenue guidance was cut to about $2.7B from about $3.0B, which the company tied to a slower rollout of ad product capabilities and partner integration. Advertising is the newest growth lever and still a minority of revenue at about $2.7B guided on about $51.1B, so a slower ramp removes the clearest source of upside to the subscription led base case. [Q3 Letter]

4. Content Spend and Cash Conversion: The bridge is content heavy by construction. In FY2025, depreciation and amortization of $16,756M ran at 37.1% of revenue and capex, defined as cash content spend plus purchases of property and

[[BULL]] and force our base case up. A further step down in growth toward the bear case path of 4%, another cut to the ad revenue ramp, or free cash flow guidance slipping again would expose how much of the price depends on growth above the bull case and move the equity toward the bear target of [[BEAR]].

equipment, ran at $18,396M or 40.7% of revenue, yet free cash flow still reached $9,461M. FY2026 free cash flow guidance was cut to about $12.0B from about $12.5B, and if cash content spend stays at the top of the modeled schedule, free cash flow conversion lands below the path behind the base case terminal free cash flow margin of 24.0%. [10-K/DCF model]

5. Earnings Quality and One Off Items: Q1 2026 net income of $5,283M, EPS of $1.23, and free cash flow of $5,094M all included a one time $2.8B Warner Bros. Discovery termination fee received after Netflix walked away from that transaction, so none of those figures is a clean run rate. Buybacks were also paused during that deal process to conserve cash. Q3 margin strength was partly a matter of expense timing, which is why the guided Q4 margin steps down to 26.0%. [Q1 Letter/Q3 Letter]

Forward Growth Drivers

- All four regions grew at double digit rates in Q3 2026, led by Latin America at 17%, and churn improved year on year in every region and came in better than the company forecast [Q3 Letter]
- India revenue grew about 18% on a currency neutral basis in Q3 2026, with viewing hours up 24% and the largest quarter of paid net additions in that market [Q3 Letter]
- Advertising passed $1.5B in 2025, up more than two and a half times year on year, with FY2026 ad revenue now guided to about $2.7B, and the ad business passed 4,000 advertisers in Q1 2026, up 70% year on year [Q3 Letter]
- Netflix repurchased 63.9M shares for $4.8B in Q3 2026, its largest quarterly buyback, leaving $22.3B of authorization, after buybacks resumed in Q1 2026 following the pause during the Warner Bros. Discovery deal process [Q3 Letter]

Missing / Modified Data Log

- Netflix reports a single segment, so no segment revenue split is shown, and advertising is described only at the guided total level the company discloses.
- Netflix no longer reports paid memberships quarterly after memberships crossed 325M at the end of 2025, so no quarterly membership series is shown.
- Net debt uses the Q2 2026 10-Q balance sheet at 30-Jun-2026, before the Q3 2026 buyback, because no Q3 balance sheet had been filed at the as of date.
- Q1 2026 free cash flow in the trend table includes the one time $2.8B Warner Bros. Discovery termination fee and is not a clean run rate.

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